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OECD
ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

SWITZERLAND

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ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

DEC. 1967

BASIC STATISTICS OF SWITZERLAND

THE LAND

Area (thousand sq.km.)	41.3
Cultivated area (thousand sq.km.)	2.7
Grassland and pastures (thousand sq.km. in 1952)	19.0
Forest (thousand sq.km. in 1952)	9.8

Major cities, 1966 estimates (thousand inhabitants):	
Zurich	437
Basle	216
Geneva	174
Berne	168
Lausanne	136

THE PEOPLE

Population 1966 estimates (thousand)	5 999
No. of inhabitants per sq.km. in 1966	145
Net annual rate of population increase, average 1955-1966 (per thousand) inhabitants)	8.4
Labour force, 1960 census (in per cent of total population)	46.3
Agricultural labour force, 1960 census (in per cent of total labour force)	10.1

Number of foreign workers subject to control (thousand):	
February 1967	530
August 1967	648
Increase in the number of foreign workers, annual average 1955-1967 (thousand):	
February census	30
August census	31

PRODUCTION

Gross national product in 1966 (billion francs)	64,5
Gross national product per capita in 1966 (US dollars)	2 482
Gross fixed investment in 1966 (in per cent of GNP)	26.5

Expenditure on construction, including public works in 1966 (billion francs)	11.3
Gross income of agriculture in 1966 (billion francs)	4.0

THE GOVERNMENT

Public consumption in 1966 (in per cent of GNP)	11.8
Public works in 1966 (in per cent of GNP)	5.8
Current public revenue in 1966 (in per cent of GNP)	25.3
Debt of the Confederation in 1966 (in per cent of current revenue)	86

Composition of Parliament (per cent)

	National Council	State Council
Conservative Christian Socialists	22.5	41.0
Radicals Democrats	24.5	32.0
Socialists	25 0	4.0
Agrarians	10.5	7.0
Others	17.5	16.0

Last elections: 1967
Next elections: 1971

LIVING STANDARDS

Calories per head, per day; in 1965-1966	3 154
Food expenditure in 1966 (in per cent of total expenditure in worker families)	24.4
Average hourly earnings of semi-skilled and unskilled workers in 1966 (francs)	5.17

Number of passenger cars in 1966 (per 1,000 inhabitants)	168
Number of telephones in 1966 (per 1,000 inhabitants)	399
Number of radio sets in 1966 (per 1,000 inhabitants)	280

FOREIGN TRADE

Exports of goods and services in 1966 (in per cent of GNP)	30.8
Main exports in 1966 (in per cent of total exports):	
Machinery	28
Chemicals	20
Watches	14

Imports of goods and services in 1966 (in per cent of GNP)	30.0
Main imports in 1966 (in per cent of total imports):	
Food products	16
Machinery	15
Fuels	6

THE CURRENCY

Monetary unit: Swiss franc.

Swiss franc per US dollar: 4.33

ECONOMIC SURVEYS BY THE OECD

SWITZERLAND

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

The Socialist Federal Republic of Yugoslavia is associated in certain work of the OECD, particularly that of the Economic and Development Review Committee.

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INTRODUCTION

For more than four years, the Swiss economy has gone through a process of adjustment to the reversal of official foreign labour policies. The quick and smooth adaptation of enterprises to the changed labour supply situation has been remarkable, especially in view of the rigidity of the new employment rules. The advance in labour productivity, slow in previous years, has been stepped up substantially, with a marked improvement of the cost position. The previous rapid deterioration of the current balance of payments has been sharply reversed and progress has been made in stabilizing industrial and building prices.

However, the benefit which the economy could draw from the entrepreneurs' efforts to cope with the new labour situation has largely occurred already, and for some time now the growth performance has been unsatisfactory. The economy seems to need a new demand impulse to lift it out of its present stagnation. In view of the strong balance of payments position and the existing margins of capacity, the present conditions seem to be well suited for a re-orientation of policies towards an active stimulation of output and productivity.

After a brief exposition of the legal framework and the rules governing the immigration and employment of foreigners in Part I, the present Survey outlines in Part II the quantitative developments and changes in the structural composition of foreign labour force during the 'sixties, and examines the economic changes which have taken place since the authorities have decided to restrict the influx of foreign labour. Parts III and IV deal with recent economic developments and Part V discusses prospects and policy requirements.

PART I

FOREIGN LABOUR POLICY

The legal framework

Until the First World War foreigners enjoyed practically full freedom of immigrating and exercising a vocation in Switzerland. Because of the

growing concern about a possible excessive increase of the foreign share in the population, special powers to control and restrict the inflow of foreigners were accorded the Federal Council in 1917, and subsequently (1925) were firmly established in the Constitution. In 1931 a Federal law relating to the stay and settlement of foreigners in Switzerland was enacted; after some amendments in 1948 it is still in force. It stipulates that the rules governing the employment of foreigners should be determined by the general interest of the country, but their formulation has been largely left to the discretion of executive organs of the Confederation.

The regulations in force distinguish between three types of residence permits: temporary stay permits, permits of settlement or establishment, and tolerance permits. Except for tourists and other foreign visitors, non-Swiss are not allowed to stay on Swiss territory without one of the above-mentioned authorisations. A foreigner establishing himself in Switzerland for gainful activity must be in possession of a residence permit which has, in principle, a time limit. In fixing the duration of stay, account is taken of the labour market situation and, in case of prolongation, also of the behaviour of the applicant. In general the duration does not exceed one year or, for seasonal residence, nine months. Temporary residence certificates include automatically a work permit for a specified job, which cannot be changed without permission. Foreigners wishing to settle permanently in Switzerland can be released from police control normally only after four years, and apply for a permanent residence permit. Such a permit puts foreigners on the same footing as Swiss citizens, with certain exceptions as to self-employment.

During the 'thirties the admission rules had been very severe, the main objective being to reduce the number of foreign workers and to ease unemployment. By contrast, the Federal authorities adopted a very liberal attitude during the 'fifties and the early 'sixties in order to meet the growing shortage of labour. But despite a sharply accelerated intake of foreign labour, Switzerland has been confronted with mounting inflationary pressures since 1961. This has been one of the factors which led to a general reconsideration of foreign labour policies. The danger of foreign infiltration was conjured up in campaigns against the "Überfremdung"; but there was also a growing sector of opinion arguing that, even from a purely conjunctural policy point of view, it would be advantageous for Switzerland, at least temporarily, to stabilize the number of foreign workers. On the demand side, it was argued, this would help to ease the shortage of housing and overhead capital, slow down the growth of private consumption and productive investment needed to equip new working places; on the production side it would step up productivity advances through increased rationalization efforts and higher "labour morale" and discipline.

Change in foreign labour policies

This opinion finally prevailed and led to a number of successive moves to curb the inflow of foreign labour:

(*i*) In early 1963 the Federal authorities decided to issue temporary residence permits only to those foreign workers entering enterprises where total employment of Swiss *and* non-Swiss, after engaging the foreign worker, did not exceed the peak in December 1962 or the average in the year 1962. This rule remained in force until the end of February 1964.

(*ii*) In February 1964 it was decided to restrict the issue of employment permits to those firms whose *total* employment did not exceed 97 per cent of the level in March 1964.

(*iii*) In March 1964 the above measures were supplemented by rules for taking in labour from certain countries. Stay permits for foreign workers from those countries were to be granted only to employers who were able to prove that the foreign worker would enjoy adequate housing and social security facilities. Non-seasonal workers should be admitted only if qualified and of particular interest to the Swiss economy.

(*iv*) In October 1964 the global ceiling of 97 per cent (reference period March 1964) was lowered to 95 per cent.

(*v*) In February 1965 a double ceiling system was introduced. In maintaining the global employment ceiling it was, in addition, stipulated that individual enterprises should reduce the number of foreigners employed (subject to control) by 5 per cent between 1st March and 1st July 1965. Furthermore, permits were no longer to be granted to foreign workers entering Switzerland in search of employment but only to those engaged by Swiss enterprise prior to arriving in Switzerland. Exemptions were made less generous than those accorded previously. They were limited to agriculture, forestry, domestic services, hospitals, various social institutions and firms employing less than five foreign workers and those which had reduced their foreign labour force by more than 10 per cent or by more than twenty workers as against March 1963.

(*vi*) The regulations laid down in March 1966 raised the global employment ceiling by 4 per cent[1], but envisaged a further reduction

1 As from April 1966 employers were allowed to increase their total number of employed by 4 per cent but only in as far as they were able to hire Swiss workers or foreigners not subject to police control.

of the number of foreign workers subject to control: 3 per cent from March to August 1966 and another 2 per cent by the end of January 1967. (Reference period 1st March 1965 or the average number of foreigners employed in 1964, whichever was the higher.) These arrangements excluded frontier workers and, partly, foreigners engaged in scientific research or in the tourist trade. The ceilings were to be applied less rigidly than previously in the case of firms which had reduced their total employment by 15 per cent or more since 1st April 1963.

(*vii*) A further 2 per cent reduction of the number of foreign workers (subject to control) was decided in February 1967, to be effected by the end of July, bringing the total reduction since 1st March 1965 up to about 12 per cent. At the same time, the global ceiling was raised from 104 to 110 (reference period March 1966 = 100).

PART II

THE IMPACT OF FOREIGN LABOUR MOUVEMENTS ON THE SWISS ECONOMY

Demographic trends

Switzerland has traditionally been a country with a particularly strong proportion of foreigners. Her favourable geographical position in the centre of Europe, her neutrality and long liberal traditions, her population and language structure, her stable and prosperous economy and the beauty of the landscape have, for a long time, induced foreigners to settle down in Switzerland. The change in policy attitudes vis-à-vis foreigners has however influenced the movements and composition of the foreign population importantly. The net immigration of foreigners came to a halt just before the outbreak of the First World War when the share of foreign residents in the total population had reached an all-time high of more than 15 per cent. The subsequent change of policies and other events reduced the share to about 5 per cent by the end of the Second World War. The following twenty years saw a progressive growth of the foreign population with a sharp acceleration during the early 'sixties. Since 1963 the foreign population share has remained fairly stable at around 14 to 15 per cent.

The persistent increase in the number of foreign residents during the post-war period has been accompanied by marked structural changes with an important bearing on the Swiss economy. According to the last two population census figures the activity rate of non-Swiss residents increased

from 61 per cent to 72 per cent between 1950 and 1960, while at the same time the activity rate of Swiss residents dropped from 45 to 43 per cent. Over the same period the share of foreigners having stayed for more than six months in Switzerland in the total labour force went up from 8 to 17 per cent and probably reached the 30 per cent mark by 1963. The sharpest increase of the foreign labour share took place in construction, manufacturing and the tourist trade with the foreign employment share since 1963 approximately amounting to about 50 per cent in construction and 40 per cent in both manufacturing and the hotel and restaurant trade.

Table 1 **Foreign workers subject to police control**
Thousands

	1955	1960	1963	1964	1965	1966	1967
Total[1]	271	435	690	721	676	649	648
By type of work or residence permit:							
Seasonal	241	140	201	206	184	165	154
Non-seasonal		257	442	465	446	436	436
Frontier worker	30	39	47	49	46	48	59
By profession:							
Agriculture, horticulture	32	28	20	18	17	16	16
Food, drink, tobacco	7	12	23	25	24	23	24
Textiles	12	24	35	36	34	32	31
Clothing and shoes	10	26	43	45	42	41	40
Metals and machinery	30	66	133	138	133	124	123
Building, stone and earth, wood and glass	68	130	216	227	207	196	191
Hotels and restaurants	47	62	73	76	75	74	75
Domestic services	39	30	27	25	21	21	22
Liberal and technical professions	8	18	29	31	30	30	31
Commerce and administration	18	39	24	28	27	26	27
Others			67	71	68	66	69
First issue of residence permits[2]	221	342	445	455	375	347	
Prolongation of residence permits				340	366	343	
Issue of permanent residence permits[3]		4	8	9	12	19	

1 Figures relate to August of each year.
2 Including work permits to frontier workers.
3 To gainfully employed only.
Sources: La Vie économique; Statistical Yearbook of Switzerland.

Economic aspects and effects of the recent foreign labour policy changes

The measures taken in 1963 and notably since 1964 succeeded in checking the former strong inflow of foreign workers. This had important reper-

cussions on the growth of economic activity. From Table 2 it can be seen that, during the 'fifties up to 1963, the net influx of foreigners had provided the main source of additional labour input. Rising at an annual rate of 9 per cent between 1950 and 1960, and at almost double that rate between 1960 and 1963, the average annual net intake of foreign workers in terms of the total civilian labour force amounted to 1.1 per cent in the former period and to more than 3 per cent in the latter. The rate dropped to about 1 per cent in 1964 and has probably become marginally negative in the following three years.

The associated changes in the trend of the total labour force have not been fully reflected in the trend of overall output because developments in labour productivity have tended to cushion the impact. The years of a sharply accelerated rise in employment (1961 to 1963) saw a significant fall of productivity advances and, conversely, the period of virtual stable labour input (1964-1966) an even more pronounced upturn, partly correcting the apparent mismanagement of resources during the period of hectic expansion and growing demand pressure. In 1965, when employers were requested for the first time to reduce their number of foreign employees, the rise in output per employed soared up to the highest rate experienced since the early post-war period, 1959 apart. The productivity advance dropped in 1966 but remained appreciably above the rate recorded during the previous period of rapid expansion. The high labour productivity performance reflects the increased rationalization efforts and the " qualitative " improvement of the labour input, but was probably also associated with an important rise in capital intensity (capital equipment per worker) resulting from a marked shift from capital widening to capital deepening. The incremental gross capital/output ratio has probably been raised permanently after the labour supply situation had been reversed, but the sudden big jump of the ratio in 1966 and notably in 1967 seems to be mostly due to the slower growth of final demand.

The repercussions of the less ample labour supply on productivity have been particularly important in the industrial sector, which had most heavily drawn on foreign labour during the early 'sixties. Output per work hour steeply mounted from a very low average annual rate of increase of about 1.5 per cent in 1961 to 1963 to 4.5 per cent in 1964 and more than 6 per cent in 1965 and 1966.

The contribution to the higher productivity performance has been rather uneven as between industries depending on the individual demand/supply situation and the extent to which enterprises had been hit by the changed foreign labour policy. The biggest productivity gains were recorded by the chemical and the watch and jewellery industries which continued to enjoy favourable demand conditions. Productivity advances re-

Table 2 Growth and productivity
Annual rates of change

	1951-60	1961-63	1964	1965	1966	1964-66	1967[3]
GNP at current prices	6.4	10.8	10.3	8.0	7.5	8.6	5.5
GNP price deflator	1.9	4.8	4.9	3.5	4.5	4.3	4.0
GNP at constant 1958 prices	4.4	5.7	5.1	4.3	2.8	4.1	1.5
— per capita	3.0	3.1	3.2	3.1	1.9	2.7	0.5
— per employed	2.8	2.1	4.2	4.9	3.9	4.4	2.0
Total active labour force	1.6	(3.4)	(0.9)	(–0.7)	(–1.1)	(–0.3)	(–0.5)
of which: accounted for by foreigners	1.1	3.2	..	..	..	..	..
Private gross fixed asset formation at 1958 prices	(19.1)[2]	10.7	7.5	–1.9	–2.3	1.0	–1.0
Incremental gross capital/output ratio[1]	(2.5)[2]	3.7	4.4	5.2	7.7	5.5	13.5

1 Ratio of previous year's private gross fixed asset formation to change of GNP.
2 1959-1960.
3 Secretariat estimates.
Sources: La Vie économique and Secretariat estimates.

Table 3 **Output, employment**
Percentage change

	Average 1961-63	1964	1965	1966
				Total industry (weight:
Index of production	5.8	5.0	3.4	4.6
Index of employed workers	4.8	0.7	–1.9	–1.4
Average weekly hours worked	–0.4	–0.3	–1.2	–0.2
Employment of foreigners[1]	19.6	6.4	–3.2	(–5.1)
— change in % of total employment	5.6	2.4	–1.3	(–2.0)
Output per worker	1.0	4.3	5.3	6.1
Output per work hour	1.4	4.6	6.5	6.3
Hourly average earnings of all workers	7.4	7.9	7.5	7.7
Wage costs per unit of output	5.9	3.2	0.9	1.3
Wholesale prices[2]	(3.0)	1.3	0.6	1.9
				Chemicals (weight: 9.9)
Index of production	7.7	9.9	1.5	13.9
Index of employed workers	4.6	2.9	0.4	0.4
Average weekly hours worked	..	0.1	–0.3	–0.2
Employment of foreigners[1]	28.6	19.1	0.3	(–0.5)
— change in % of total employment	3.5	3.5	0.1	(–0.1)
Output per worker	2.9	6.8	1.1	13.4
Output per work hour	(3.3)	6.7	1.4	13.6
Hourly average earnings	7.5	8.5	7.9	10.2
Wage costs per unit of output	4.1	1.7	6.4	–3.0
Wholesale prices[2]		–2.1	1.3	0.0
				Textiles, clothing shoes
Index of production	5.7	6.4	1.8	2.1
Index of employed workers	2.4	–0.7	–3.3	–4.4
Average weekly hours worked	..	–0.2	–0.9	–0.1
Employment of foreigners[1]	12.7	5.2	–4.3	(–2.9)
— change in % of total employment	5.4	2.8	–2.4	(–1.6)
Output per worker	3.2	7.2	5.3	6.8
Output per work hour	(3.6)	7.4	6.2	6.9
Hourly average earnings	(6.7)	8.7	7.0	8.1
Wage costs per unit of output	3.0	1.2	0.8	1.1
Wholesale prices[2]		1.7	–3.6	–2.1

1 Data in brackets relate to August or February census figures classified by profession rather than by industry.
2 Materials and basic goods.
Source: La Vie économique.

and labour costs in industry
from previous year

00)		*Metals and machinery (weight: 36.9)*					
1967 1st qtr	1967 2nd qtr	Average 1961 — 63	1964	1965	1966	1967 1st qtr	1967 2nd qtr
2.6	0.6	5.5	3.9	0.5	0.2	–1.4	–1.1
–1.0	–1.1	5.9	1.1	–1.3	–1.9	–1.7	–1.9
–0.4	–0.2	..	–0.7	–1.3	–0.1	–0.2	–0.2
(–2.8)		20.2	6.0	–3.7	(–6.7)	(–3.5)	
(–1.1)		5.9	2.2	–1.4	(–2.6)	(–1.3)	
3.6	1.7	–0.4	2.8	1.8	2.1	0.3	0.8
4.0	1.9	(0.0)	3.5	3.1	2.2	0.5	1.0
		(7.7)	7.5	6.8	7.2		
		(7.7)	3.9	3.6	4.9		
–0.2	–0.3	..	5.3	2.0	3.4	–1.9	–5.7
		Watches and jewellery (weight: 8.6)					
14.7	6.1	3.9	4.4	9.8	14.0	8.4	3.4
3.0	2.5	3.5	–0.6	1.5	0.9	0.2	0.9
–0.2	–0.5	..	–0.4	–1.3	0.2	–0.7	–0.5
(3.8)		40.2	15.8	6.4	(3.1)	(1.7)	
(0.9)		4.3	3.0	1.7	(0.9)	(0.3)	2.5
11.4	3.5	0.4	5.0	8.2	13.0	8.2	3.0
11.6	4.0		5.4	9.6	12.8		
		(6.0)	3.2	7.9	7.8		
		5.6	–2.1	–1.6	–4.4		
1.3	2.0						
weight: 13.3)		*Food, drink, tobacco (weight: 6.9)*					
–1.3	0.9	7.5	3.9	3.8	0.7	0.8	–2.1
–2.2	–2.4	5.9	1.1	–1.4	–1.0	–0.8	0.8
–0.3	–0.2	..	–0.3	–0.6	–0.3	–0.2	–0.4
(–4.1)		30.0	5.7	–0.9	(–3.1)	(1.3)	
(–2.3)		7.0	2.0	–0.3	(–1.1)	(0.7)	
0.9	3.4	1.5	2.8	5.3	1.7	1.6	–2.9
1.2	3.6	(1.9)	3.1	5.9	2.0	1.8	–2.5
		(7.2)	7.8	7.5	7.9		
		5.2	4.6	1.5	5.8		
–4.1	–4.2	..	1.3	0.6	5.2	1.7	3.1

mained below the average in metals and machinery, in building, and the food, drink and tobacco industry where demand was sharply weakening. The textiles, clothing and shoe industry, which was also facing relatively poor demand conditions, but reduced the number of both foreign and Swiss workers particularly heavily, was able to step up labour productivity to a rather impressive average rate of more than 6 per cent.

Neither the favourable productivity trend nor the potentially tighter labour supply situation had any noticeable impact on the development of earnings. There was a slight acceleration of wage increases in 1963 and 1964 which, however, did not continue in the following years. There is little doubt, however, that the weaker business situation has strengthened the employers' resistance to wage adjustments and that the system of double employment ceilings has acted as a brake to the bidding up of wages.

Given the virtually unchanged wage trend, the accelerated rise in labour productivity has been associated with an important improvement of the cost position of the Swiss economy. The increase in wage costs per unit of industrial output fell from an average annual rate of almost 6 per cent during 1961 to 1963 to less than 2 per cent in 1964 to 1966. The impact of the easing of cost pressure on prices is rather difficult to discern. The increase in consumer prices, excluding food, accelerated during the stabilization period. On the other hand, prices of certain industrial goods and building behaved in a more stable manner than previously, but this appears to reflect the weakness of demand rather than the improved labour-cost position; this seems to be particularly true for the building sector where prices exhibited the clearest tendency towards stabilization although, there has been a steep rise of costs resulting from the under-utilization of physical and manpower capacity.

While the favourable repercussions of the new foreign labour regulations on labour productivity and costs can hardly be disputed it is by no means certain, whether the overall domestic output/demand balance has also been favourably influenced. It is true that excess demand in a wider sense has been substantially reduced since 1965 (see Diagram 1) but given the complex nature of factors ultimately determining the trend of output and demand it is practically impossible to disentangle the various influences and to assess their quantitative impact. The measures taken in the field of foreign labour coincided with the introduction and the implementation of the Stabilization Programme and possibly also with an autonomous turning point of the previous cyclical upswing. On the production side there is, however, little doubt that, despite increased labour saving investments and the more economical use of available manpower resources, the growth potential of the Swiss economy has been reduced, notably after the initial benefits from the adaptation period had been passed. On the demand side, the expansion of total private consumption has been curbed because

of the stabilization of employment and the weaker growth of total population which should also have produced a dampening effect on housing demand and certain types of infra-structural and productive investments.

A simple calculation may perhaps give a rough idea about the orders of magnitude involved on the demande side. The sharp slowing down of the influx of foreigners since 1963 reduced the 1961-1963 trend rate of total population by 1.3 percentage points in 1964-1966 and the concomitant stabilization of the number of foreign employed after the period of rapid expansion reduced the former growth rate of the total labour force by some 3 percentage points. Assuming that the average consumption level of foreigners would be two-thirds of the Swiss average and the average costs to equip a new working place would amount to SF 30 000 the quantitative direct *gross* impact of the change in the previous trend of foreign population and labour on total domestic demand would amount to an annual rate of as much as 6.5 per cent. In other words, had the steep 1961-1963 growth of employment and population continued in 1964-1966 the expansion of domestic demand would have been inflated by 6.5 percentage points, i.e. the trend would have been, ceteris paribus, slightly steeper than in the 1961-1963 period. The "ceteris paribus" clause is, however, highly unrealistic because the less ample labour supply has certainly provided an extra stimulus to labour saving investments, even though the wage push has not been aggravated and labour market conditions did not visibly tighten. Yet, there remains the fact that the former steep upward trend of investment has actually been turned downwards since 1965. It would be difficult to explain the sharp weakening of the propensity to invest without relating it somehow to the changed labour supply situation. Other restrictive demand measures undertaken during the same period had been relatively mild and budgetary policies have had an expansionary net impact on the economy throughout the "stabilisation period".

On balance, it can, therefore, probably be concluded that despite potential losses in output the restrictive foreign labour policy helped to reduce the pressure on resources and costs; but the positive net contribution towards improving the overall demand/supply and wage/productivity situation has clearly diminished as time passed on. However this may be, it should be borne in mind that the action to stop and eventually to reserve the inflow of foreign labour has essentially been based on sociological rather than on economic reasons.

Part III

RECENT DEVELOPMENTS

Economic activity has marked time since the beginning of 1967, after a year of relatively modest expansion. The decline of investment activity

has become more pronounced; private consumption and exports levelled off. Despite a persistent slight fall of industrial employment, unemployment is still practically non-existent but the margin of unused physical and manpower capacity must have widened. The former tendencies towards price stabilization and growing external surpluses have been reversed since the middle of the year.

GNP and expenditure

The contribution of domestic expenditure to the nominal growth of GNP declined from 6 per cent in 1966 to 4.8 per cent in the first half of 1967 and the net addition of GNP resulting from the improvement of the external account was reduced from 1.4 per cent to 0.7 per cent. The slackening demand impulses were reflected in the slowing down of economic growth and some easing of price pressure. The rate of increase in GNP (in volume) fell from 2.8 per cent in 1966 to less than 1.5 per cent in the first half of 1967 with the GNP price deflator falling only fractionally below the high rate of 4.6 per cent recorded in 1966.

Table 4 GNP and expenditure
Percentage change in value from previous year

	1964	1965	1966	1967 I	1967 II
Private consumption	8.8	7.5	6.8	6.5	5.9
Public consumption[1]	10.1	6.8	11.1	7.6	7.6
Gross capital formation	13.7	–0.8	2.7	–1.2	1.3
Domestic expenditure	10.4	4.9	6.1	5.1	4.7
Exports of goods and services	10.5	14.0	10.6	8.2	8.8
Imports of goods and services	10.8	4.0	6.4	6.6	7.1
Net current surplus[2]	–0.3	3.0	1.4	0.7	0.7
GNP	10.3	8.0	7.5	5.7	5.3
— at 1958 prices	5.1	4.3	2.8	1.3[3]	1.1[3]

1 Including Social Insurance.
2 Change in value in percent of previous year's GNP.
3 Secretariat estimates.
Source: La Vie économique.

Investment activity appears to have slackened further in 1967. Quarterly national account expenditure estimates suggest an absolute decline of investment in machinery and equipment in the first half of the year follow-

ing an average increase of still 1.3 per cent in volume in 1965-1966. The decline was reflected in domestic production of machinery, which ceased to expand, and even more in imports of investment goods, which actually fell. The downward trend of building and construction activity persisted until very recently. Public building has continued to expand moderately and the previous sharp fall of industrial building seems to have stopped; but there has been a significant drop in dwelling construction. The number of dwellings completed in sixty-five towns in January-September was some 13 per cent lower than a year earlier and dwellings under construction in communes of more than 2,000 inhabitants at the end of June were 11.4 per cent lower than a year earlier.

Table 5 **Indicators of investment**
Percentage change from previous year

	1964	1965	1966	1967
Total gross fixed asset formation:				
Current prices	13.7	–0.8	2.7	0.4[1]
1958 prices	8.9	–3.5	–0.9	
Machinery and equipment:				
Current prices	6.8	4.0	6.3	–1.1[2]
1958 prices	3.0	1.7	1.2	
Imports of investment goods	8.5	–3.2	10.2	–3.4[3]
Output of machinery	4.8	3.1	0.7	0.0[1]
Output of metal and metal goods	2.5	–3.1	–0.6	–3.5[1]
Building and construction:				
1958 prices	11.9	–2.9	–1.6	
Current prices	17.4	0.0	1.0	0.0[3]
Public	21.0	3.5	9.5	5.3[4]
Residential	18.1	1.5	0.9	–3.2[4]
Other	10.7	–7.6	–8.7	0.0[4]
Dwellings completed[5]	3.5	5.6	–5.2	–13.4[3]
Dwellings under construction in June[5]	7.9	–16.3	–5.7	–5.4
Dwelling permits issued	2.1	–23.1	1.9	0.1[3]
Volume of industrial projects inspected under Labour Law	–10.5	–25.3	1.3	7.7[3]

1 First half.
2 First quarter.
3 January-Sept.
4 On project basis reported in January.
5 Data relate to 65 towns.
Source: La Vie économique.

Signs of a revival of private consumption manifest in the second half of 1966 and early 1967 have not been confirmed by more recent indicators. The annual rate of increase of consumer spending at current prices slowed down from 6.5 per cent in the first quarter to probably less than 5 per cent in the third quarter with the year-to-year rate of increase in living costs accelerating from 4 to 4.6 per cent. The value of retail sales, seasonally adjusted, has levelled off since the spring. The factors causing the recent hesitation of consumption are difficult to discern. The contraction of total employment has, if anything, moderated and the previous rise in the saving ratio does not appear to have continued. But some slowing down may have occurred in wage movements even though the fairly steady trend of wage rates up to the middle of the year gives as yet little evidence to this (see Table 9).

The growth of government consumption has slowed down noticeably in 1967, following a market pick-up in 1966. The year-to-year increase in the first half of 1967 amounted to 7.6 per cent in value terms as compared with more than 11 per cent in 1966 as a whole. The Federal budget for 1967, providing for an increase in civil and military consumption of only 5.7 per cent on previous year's estimates, does not suggest any upturn in the second half of the year.

The expansion of exports has also slackened noticeably in recent months after having lost already some momentum in the course of last year. The advance in exports of goods and services (national accounts basis) on a year earlier dropped from an average of 10.6 per cent in 1966 to 8.5 per cent in the first half of 1967. Seasonally adjusted merchandise shipments have shown no further rise since January but exports of invisibles have remained a source of buoyancy.

Output and employment

The growth of output slowed down further in 1967. The sluggish demand appears to have been the most important factor behind the deceleration but limitations on the supply side may also have contributed. The reduction of employment in 1967 is estimated at 0.5 per cent after a decline about 1 per cent in 1966 and 1965. Net additions to the capital stock may have been smaller than previously because of the persistent slack of investment activity. However, the steep rise of the incremental capital/output ratio in 1967 and the sharp decline of labour productivity advances (from 4 per cent in 1966 to probably 2 per cent in 1967) strongly suggest that the actual drop of the rate of growth of production was associated with the weaker trend of overall demand.

The industrial and building sectors have been particularly hit by the weakening expansion of demand. The expansion of industrial output slowed down from 4.6 per cent in 1966 to 1.5 per cent (seasonally adjusted, annual rate) in the first half of 1967 with a marked downward tendency between the first and the second quarter. The two export-oriented industrial branches, chemicals and watches, though less booming than previously, are presently sustaining the moderate industrial growth. In the first half of 1967 the production of seven out of thirteen industrial branches accounting for more than 60 per cent of output was running at or below the corresponding previous year's level as compared with three (25 per cent) in 1966. The biggest losses were recorded in the building materials industries (wood, stone and earth) and the metal and metal goods industry.

Table 6 Index of industrial production (1958 = 100)

	1963	1964	1965	1966		1967
				1st half	2nd half	1st half
Food, drink, tobacco	128	133	138	137	141	136
Textiles	126	128	127	126	120	124
Clothing	143	160	167	179	180	182
Wood	145	153	160	159	148	139
Paper	144	146	161	166	173	170
Graphic	141	151	157	161	182	178
Leather, rubber	165	182	178	184	183	180
Chemicals	181	199	202	226	234	250
Stone, earth	159	175	175	174	186	158
Metals	158	162	157	159	153	153
Machinery, apparatus	125	131	135	135	137	135
Watches, jewellery	137	143	157	167	192	176
Public utilities	127	124	139	150	160	158
Total industry	141	148	153	158	162	160

Source: La Vie économique.

The reduction of the industrial labour force continued in 1967 but was less pronounced than during the preceding two years. By contrast, the contraction of employment in building continued at a sharply accelerated pace. Labour market conditions have eased somewhat with practically no registered unemployed but a further fall of the number of vacancies. The service sector has apparently benefited from the less tight labour market and the less severe and rigid restrictions vis-à-vis foreign labour, and was able to increase its share in total employment by about one percentage point to approxiamtely 42 per cent.

Table 7 **Employment and labour market**

	Base or unit	1964	1965	1966	1966				1967		
					1st qtr	2nd qtr	3rd qtr	4th qtr	1st qtr	2nd qtr	3rd qtr
Index of total employment	end-March 1961 = 100	111.1	110.2	109.6	109.1	112.0	111.2	106.0	109.0	111.5	110.6
Industry	—	108.9	107.4	105.9	105.9	106.2	106.2	105.2	105.2	105.6	105.5
Building	—	116.9	115.5	115.0	118.6	129.9	129.8	81.5	113.0	124.0	123.9
Handicraft	—	109.4	107.7	106.9	106.5	109.5	109.1	102.3	106.1	109.1	108.0
Trade	—	117.3	118.6	119.4	117.7	118.9	119.3	121.8	119.3	120.1	120.4
Banks	—	122.6	125.7	129.4	126.5	129.5	130.4	131.3	131.4	134.7	136.2
Transport and communication	—	108.9	109.5	109.7	108.6	110.3	110.1	109.9	109.0	111.1	111.2
Hotels	—	110.9	109.1	109.2	104.0	118.1	107.8	107.0	109.5	118.6	109.1
Average weekly hours worked:											
Industry	hours	45.4	44.9	44.8	44.9	44.8	44.8	44.7	44.7	44.7	44.7
Building	—	47.3	47.1	47.1	47.5	48.0	48.1	44.7	47.0	47.6	47.6
Labour market:											
Fully unemployed	thousands	0.3	0.3	0.3	0.7	0.1	0.1	0.3	0.4	0.2	0.1
Vacancies	—	6.3	5.3	4.6	4.7	4.9	4.7	4.2	4.4	4.3	4.2

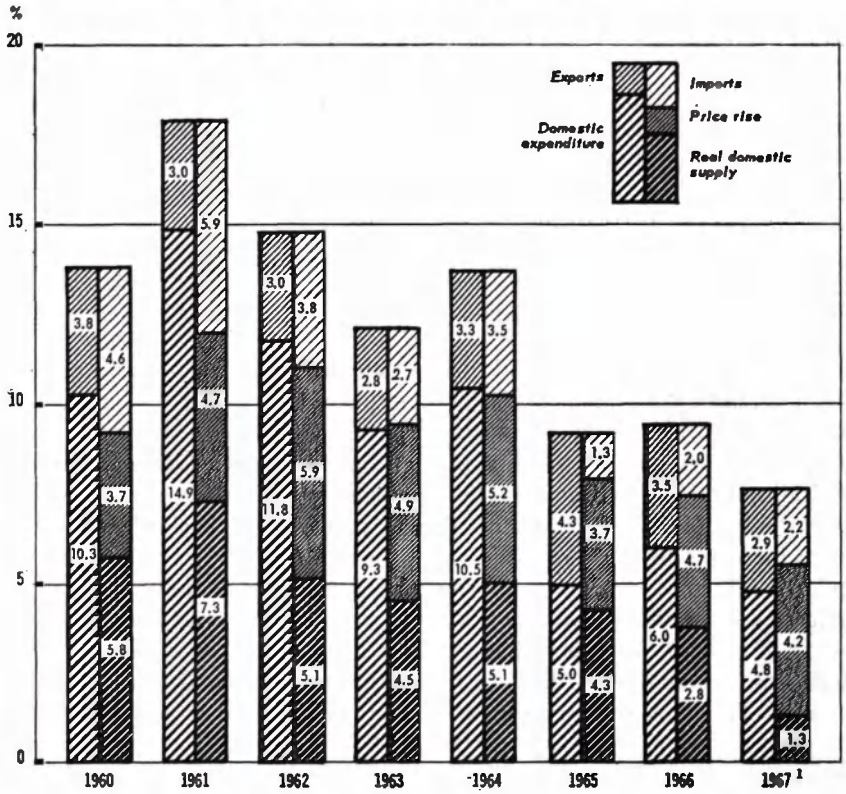
Source: La Vie économique.

The contribution of the main sectors of the economy to the growth of domestic output is not known. But GNP expenditure estimates and available statistics on industrial and building output suggest that the growth performance of primary and tertiary sectors must have improved somewhat following the previous year's partly weather-affected set back. This seems to be particularly true of agriculture; the 1967 crop yields have been reported as being relatively high.

External and internal equilibrium of the economy

Despite the slower expansion of output the overall supply/demand balance seems to have improved somewhat during the first half of 1967 after a sharp deterioration in 1966. But this tendency has probably not

Diagram 1 **External and internal equilibrium 1960-67**
Percentage change per annum in terms of GNP of previous year



1 First half, annual rate.
Source: La Vie économique.

continued in the later part of the year. The trend of prices steepened in the summer and the rise in labour costs accelerated. The trade deficit, seasonally adjusted, has stopped falling and the tourist season was reportedly less satisfactory than in 1966.

Looking further back it can be seen from Diagram 1 that the pressure of domestic and export demand combined had reached a maximum in 1961, long before the introduction of the Government's Stabilization Programme in early 1964. The easing of pressure manifest in 1962 and 1963 was actually reversed in 1964. But in 1965 excess demand was sharply reduced in spite of a marked acceleration of exports. It is to be noted that the lessening of the pressure on resources was felt more on imports than on prices. The years 1966 and 1967, viewed as a whole, have seen a worsening of the overall supply and demand situation. The rise in the foreign surplus slowed down appreciably without preventing a re-strengthening of price pressure. The relative deterioration of the overall balance can neither be related to a steepening trend of demand nor to any marked decline in the capacity rate of growth.

Indeed, the trend of total demand has gradually levelled off and productive resources have, if anything, been less strained than previously. But it is interesting to notice that the response of real output to the increase in nominal demand has been less favourable than previously. The incremental ratio of real output to nominal demand dropped to an all-time low of about 0.17 in the first half of 1967.

Prices and wages

While the weakening trend of domestic demand has produced a sharp swing in the foreign balance its effect on prices and wages has been rather limited. Since 1964 there has been a clear and continuous tendency towards price stabilization in the building market, but the implicit GDP price index, excluding building and construction, appears to have risen at virtually the same high rate as attained during the early 'sixties. The slowing down of price increases in 1965 and during the first half of 1967 has been rather quickly reversed. The year-to-year rate of increase of the cost of living index fell from an average rate of 4.7 per cent in 1966 to 3.8 per cent in the first half of 1967, but reached again 4.6 per cent in the third quarter. The acceleration was due to the behaviour of food prices and other non-rent prices. The wholesale price index of materials and basic goods was running below the previous year's level from January until May but has since exceeded the corresponding level of a year earlier by increasing though small margins. Agricultural products, manufactured food and energy products have been responsible for this new upturn. Building prices by

Table 8 Prices
Percentage change from previous year

	1963	1964	1965	1966	1967 I	1967 II	1967 III
Consumer prices	3.4	3.1	3.4	4.7	4.0	3.8	4.6
Food	3.7	1.7	2.2	4.8	2.2	3.2	4.4
Non-Food	3.2	4.0	4.2	4.7	4.8	4.1	4.7
Rent	4.2	6.2	4.5	8.1	11.9	9.6	8.6
Other	2.7	2.9	3.6	3.0	2.5	2.3	3.5
Wholesale prices of materials and basic goods	..	1.3	0.6	1.8	–0.2	–0.3	0.9
Domestic products	..	1.4	0.9	2.1	0.2	0.1	0.8
Imported goods	..	1.2	–0.4	1.3	–1.1	–1.1	1.3
Manufactured food, drink, tobacco	..	1.3	0.6	5.2	1.5	3.1	3.3
Metals and metal products	..	5.3	2.0	3.4	–1.8	–5.6	–2.6
Textiles	..	1.7	–3.6	–2.1	–4.1	–4.2	–5.0
Zurich building prices[1]	8.2	6.8	3.7	2.6	..	1.0	..

1 Annual data relate to the average of April and October.
Source: La Vie économique.

contrast seem to have remained stable. The Zurich building price index in April was only 1 per cent up on the year as compared with 2.3 per cent in October 1966.

The trend of wages has remained remarkably stable during the last five or six years with average hourly earnings of workers steadily advancing at

Table 9 Wages
Percentage rise from previous year

	1961	1962	1963	1964	1965	1966	1967 1st half
Average hourly earnings of workers[1]	6.5	7.6	7.9	7.9	7.9	7.7	..
Average weekly earnings[1]	6.1	7.3	7.7	7.6	6.3	7.5	..
Average monthly salaries[1]	5.6	6 4	6.8	7.1	6.7	6.8	..
Wage rates[2]	4.3	5.7	5.4	6.0	4.8	5.9	5.5

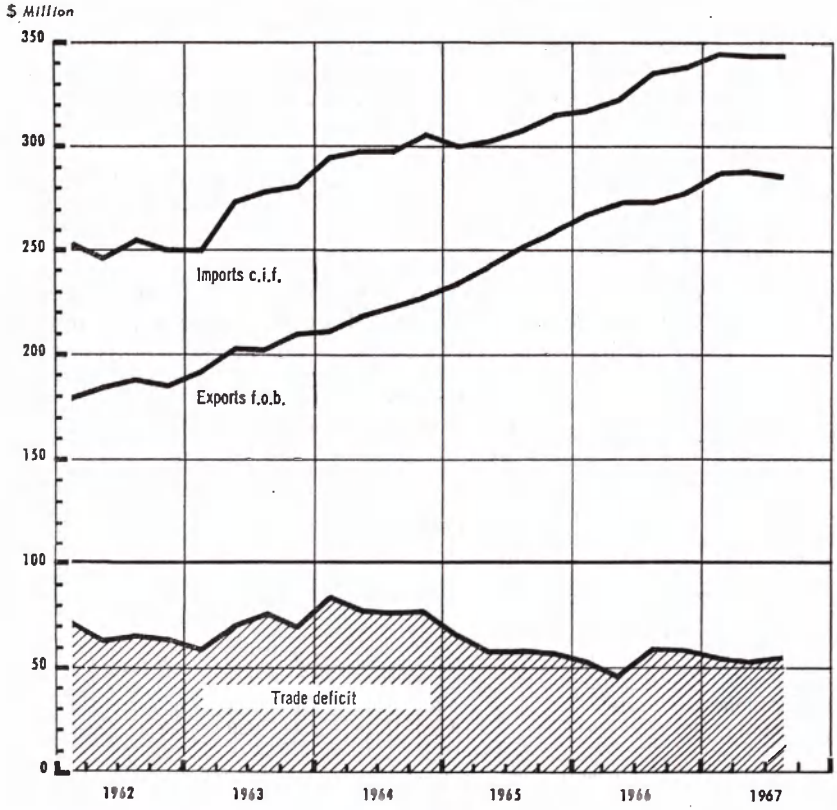
1 Industry, trade and transportation.
2 Industry and building.
Source: La Vie économique.

an annual rate of 7.5 to 8 per cent and wage rates at 5 to 6 per cent. Some deceleration of the wage movement seems, however, to have taken place in the course of 1967. Both average negociated wage rate increases and the number of workers affected by wage adjustments in industry and building were lower in the first half of 1967 than a year earlier, bringing the year-to-year rate of growth of average standard earnings down from 5.9 per cent in 1966 to 5.4 per cent in the second quarter of 1967.

Foreign trade and payments

Switzerland's external financial position does not appear to have strengthened further in 1967. The improvement of the current balance manifest in 1965 and 1966 continued only in the first half of the year and

Diagram 2 **Foreign trade**
Seasonally adjusted monthly averages



Source: Main Economic Indicators, OECD.

Table 10 Balance of payments
SF million

	1962	1963	1964	1965	1966					1967		
					year	I	II	III	IV	I	II	III
Special trade[1]	–3,406	–3,548	–4,079	–3,068	–2,801	–775	–723	–805	–498	–803	–796	–784
Merchandise trade, including energy	24	59	80	135	205	..	..	..	..	..	..	
Transit trade	120	130	110	120	135	..	..	..	..	..	..	
Total trade[1]	–3,262	–3,359	–3,889	–2,813	–2,461	..	..	..	..	..	..	
Tourism	1,210	1,290	1,500	1,580	1,655	..	..	..	..	..	..	
Investment income	785	850	915	1,120	1,370	..	..	..	..	..	..	
Transport receipts	210	227	235	275	295	..	..	..	..	..	..	
Private insurance	153	143	135	98	205	..	..	..	..	..	..	
Postal services and telecommunications	–27	–32	–36	–55	–44	..	..	..	..	..	..	
Other services	166	146	270	557	655	..	..	..	..	..	..	
of which: unspent earnings of frontier workers	..	..	..	–350	–400	..	..	..	..	..	..	
Total services	2,497	2,624	3,019	3,627	4,136	..	..	..	..	..	..	
Balance on goods and services	–765	–735	–870	814	1,675	191	330	851	303	285	444	
Private transfers	..	..	..	–1,043	–1,055	..	..	..	..	..	..	
of which: remittances of foreign workers subject to control	..	..	..	–1,235	–1,270	..	..	..	..	..	..	
Public transfers	..	..	..	–71	–90	..	..	..	..	..	..	
Total current transfers	–698	–821	–905	–1,114	–1,145	..	..	..	..	..	..	
Current balance of payments	–1,463	–1,556	–1,775	–300	530	(–95)	(44)	(565)	(17)	(–5)	(154)	
Non-monetary capital	..	..	..	..	..	..	(–612)	(–477)	(874)	(343)	(–169)	
Commercial banks (+ = deterioration of foreign position)	..	..	..	..	..	..	1,174	–275	744	–1,320	292	–869
Overall capital balance	2,955	2,200	2,414	564	–595	(–1,947)	(562)	(–752)	(1,618)	(–977)	(123)	
Balance of official settlements	1,492	644	639	264	–65	–2,042	606	–187	1,635	–982	277	–251

1 Imports cif, exports fob.

Sources: Monthly Report of the National Bank; La Vie économique.

NOTE. Figures in brackets are rough Secretariat estimates. Quarterly current balance of payments data have been calculated on the basis of official national account estimates and the assumption of virtually constant quarterly deficits on current transfers. Figures on the balance of official settlements and the commercial banks' foreign exchange position are taken from BIS sources. All other data relating to capital movements have been calculated by way of difference.

was probably reversed in subsequent months. The balance on non-monetary capital, in heavy surplus between the autumn of 1966 and the early summer of 1967, appears to have switched into deficit but both official and commercial bank reserves have increased sharply over the year.

With seasonal factors adverse, current transactions yielded a small surplus in the first half of 1967 marking an improvement of some $ 50 million over the first half of 1966. The trade deficit (cif-fob) was somewhat higher than a year realier after a two years' period of sharp decline but the deterioration was more than offset by a continuous rise in net service receipts. The net outflow on current transfer account has probably changed little as in 1966 mainly because of the stabilization of foreign workers' remittances. The small increase in the trade deficit was fully accounted for by the absolute decline of exports to Germany. The trade balance of Switzerland with the rest of the world showed a further improvement though less marked than during the preceding two years.

The trend of exports has been rather flat since the beginning of 1967 reflecting the deceleration of world demand but possibly also some weakening of the Swiss export performance. While Switzerland's exports expanded faster during the 1965-1966 period than her export markets (see Table 11) this does not seem to have been the case in 1967. On the other hand imports increased their share in total domestic expenditure despite an easing of internal demand pressure.

Table 11 **Growth of markets and foreign trade**

	1960	1961	1962	1963	1964	1965	1966	1967
Exports:								
1 Growth of Swiss export markets[1]	17.6	7.5	7.2	9.5	12.7	10.1	9.8	6.0[3]
2 Actual growth of Swiss exports	11.9	8.5	8.5	9.1	9.8	12.0	10.5	6.0[3]
3 Market gains (2—1)	–5.7	1.0	1.3	–0.4	–2.9	1.9	0.7	0.0[3]
Imports:								
4 Growth of total domestic expenditure	10.6	15.2	11.7	9.2	10.4	4.9	6.1	4.8[4]
5 Growth of imports	16.7	20.7	11.5	7.7	11.1	2.5	6.7	7.0[4]
6 Import ratio[2]	26.5	27.8	27.7	27.4	27.5	26.9	27.1	28.5[4]

1 The growth which would have occurred if Switzerland had exactly maintained her share in OECD exports to main regional markets.
2 Share of merchandise imports in total domestic expenditure.
3 Secretariat estimates.
4 First half.
Sources: La Vie économique and Secretariat estimates.

The improvements in the statistical field achieved during the last couple of years have not yet removed the obstacles to adequate analysis of capital flows. From partial information on current transactions and official reserve movements it can be inferred that the overall capital account was in small deficit in the year ending September 1967, after sizeable outflows during the preceding twelve months. This seems to apply to both monetary and non-monetary capital. During this period net capital movements behaved rather erratically. The sharp inflow of non-monetary capital, which boosted external reserves in the fourth quarter of 1966 and the first quarter of 1967, does not seem to have continued since and, allowing for the usual seasonal pattern, banks' foreign exchange transactions have also not exhibited any clear tendency in one or the other direction. At the end of September 1967 Switzerland's reserves on official settlement basis stood at $ 3,463 million or $ 157 million higher than a year earlier following a loss of $ 49 million during the preceding twelve months. Over the same period the foreign net asset position of banks improved by $ 268 million.

PART IV

RECENT POLICIES

The legal basis of the Stabilization Programme introduced in 1964 ended in March 1967 after most provisions had already been abolished in the course of 1966. However, despite the favourable swing of the current balance of payments and the marked cooling off of the conjuncture, the authorities have maintained rather cautions demand management policies.

Monetary policy and credit markets

Monetary policy has been gradually eased since the beginning of 1967 though largely in anticipation of, or adjustment to, changed marked conditions.

(*i*) On 1st January, the binding agreement between the National Bank and Swiss credit institutions on credit restrictions was replaced by less rigid overall credit guidelines requesting the banks to keep the expansion of credit to residents within 7 per cent in 1967. Banks which had increased lending by more than 8 per cent in 1965-1966 and which would have found it difficult to keep it within the 7 per cent limit were to restrict their credit expansion to 90 per cent of their annual average increase during the 1965-1966 period. Strict adherence to these

directives would have resulted in a small reduction of lending activity as compared with 1966, but effective credit demand slowed down even more than was required by the agreement which led the National Bank to abandon the guideline in mid-September.

(*ii*) The prohibition of payments of interest on foreigners' Swiss franc deposits and the banks' obligation to offset any net increase in such deposits expired in March. The former compulsory registration and control of new capital market issues was replaced by a voluntary agreement between the Swiss Bankers' Association and the banks which undertook to report new bond issues of over SF 8 million and to co-ordinate their issue activity in order to avoid an over-burdening of the market. The Swiss Bank Commission entrusted with the issue control fixed the ceiling for domestic bond issues at SF 1,380 million in the first half and at SF 1,300 million for the second half, as compared with SF 1,350 and SF 980 million respectively in 1966.

(*iii*) In April the National Bank released to the commercial banks a third (SF 345 million) of their deposits that had been blocked since 1961. This measure had little influence on internal liquidity since the banks were requested to use the greater part of the unfreezed funds for purchase of BIS promissory notes[1].

(*iv*) In response to the downward trend of interest rates abroad and the massive influx of foreign funds in connection with the Middle East conflict the National Bank reduced the official discount rate from 3.5 to 3 per cent as from 10th July. The rate of loans against collateral was cut by only one-quarter percentage point.

The reduction of the official discount rate reinforced the downward movement of short-term interest rates. The decline had already set in around mid-May in response to the heavy influx of foreign funds and the earlier fall of foreign rates. Between May and September, call money rates came down from more than 4 per cent to less than 1 per cent. By contrast long-term interest rates have shown little tendency to decline after having sharply risen from July 1966 through January 1967. Indeed, average yields on outstanding confederation bonds reached a post-war-high of 4.75 per cent in June, levelling off at around 4.4 per cent in subsequent months. It should be noted that the marked rise of Swiss capital market rates during the second half of 1966 up to the early months of 1967,

1 The BIS placed these funds at the disposal of the US Treasury against Swiss franc denominated debt certificates.

which followed upon a two years' period of virtual stability, coincided with the rapid fall of rates abroad and the easing of restrictions on the inflow of foreign captial. This seems to suggest that there has been an underlying tendency for interest rate differentials against Switzerland to diminish, probably strengthened by speculative wait-and-see attitudes of potential investors. In view of the growing importance of the Euro-dollar market, Swiss securities have probably lost some of their attractions to foreigners and there may have also been a growing awareness of existing yield differentials amongst Swiss financial investors.

Bank liquidity has increased noticeably in recent months but, except for a rather big expansion of discount credits largely due to the banks' purchases of BIS promissory notes the total of other bank lending has increased less than in previous years. At the end of September the volume of total outstanding credits to the private sector, excluding discount credit of seventy-six banks covered by current statistics showed a rise over the year of 8 per cent as against more than 9 per cent at the end of 1966.

Table 12 Selected assets and liabilities of 76 banks
SF million

	Outstanding end 1966	Increase or decrease				
		1964	1965	1966	Jan. — Sept. 1966	Jan. — Sept. 1967
Assets:						
Cash position	4,924	479	100	81	–447	–376
Lending to non-banks, total	62,757	4,256	4,690	4,875	3,211	3,577
Mortgages	27,798	1,588	1,705	1,775	1,260	1,357
Loans to public authorities	3,706	331	523	404	173	317
Other loans	26,335	1,686	2'052	2,763	1,966	1,522
Discount credits	4,918	651	410	–67	–188	381[1]
Liabilities:						
Deposits from non-banks, total	51,357	3,357	3,294	3,437	2,115	3,195
Sight	15,099	835	413	190	–84	808
Time	12,622	1,164	1,153	1,437	1,137	1,147
Savings and deposit accounts	23,636	1,358	1,728	1,810	1,062	1,240
Own bonds, total	19,215	1 963	2,030	1,121	975	2,244
Medium-term	10,974	750	1,245	440	440	1,736
Mortgage	4,236	476	246	255	237	155
Other long-term	4,005	737	539	426	298	353
Incremental deposit/lending ratio		78.9	70.2	70.5	65.9	89.3
Incremental liability/lending ratio		125.1	113.5	93.5	96.2	152.1

1 Including SF 260 million purchases of BIS promissory notes.
Source: Monthly Report of the Swiss National Bank.

The growth of deposits, on the other hand, continued at a much faster rate than in preceding years, with an important shift from longer-term to sight deposits reflecting the strong inflow of short-term funds from abroad and, furthermore, the more moderate rise of internal monetary capital formation. The incremental deposit/lending ratio mounted steeply from 66 per cent to 89 per cent between the January-September periods of 1966 and 1967. Nevertheless, banks have taken heavy recourse to longer-term borrowing. Indeed, total sales of cash certificates, bank and mortgage bonds during the first nine months of the year more than doubled as compared with the previous year. As a result, the total inflow of external funds into the bank sector exceeded the increase in bank lending by a substantial margin.

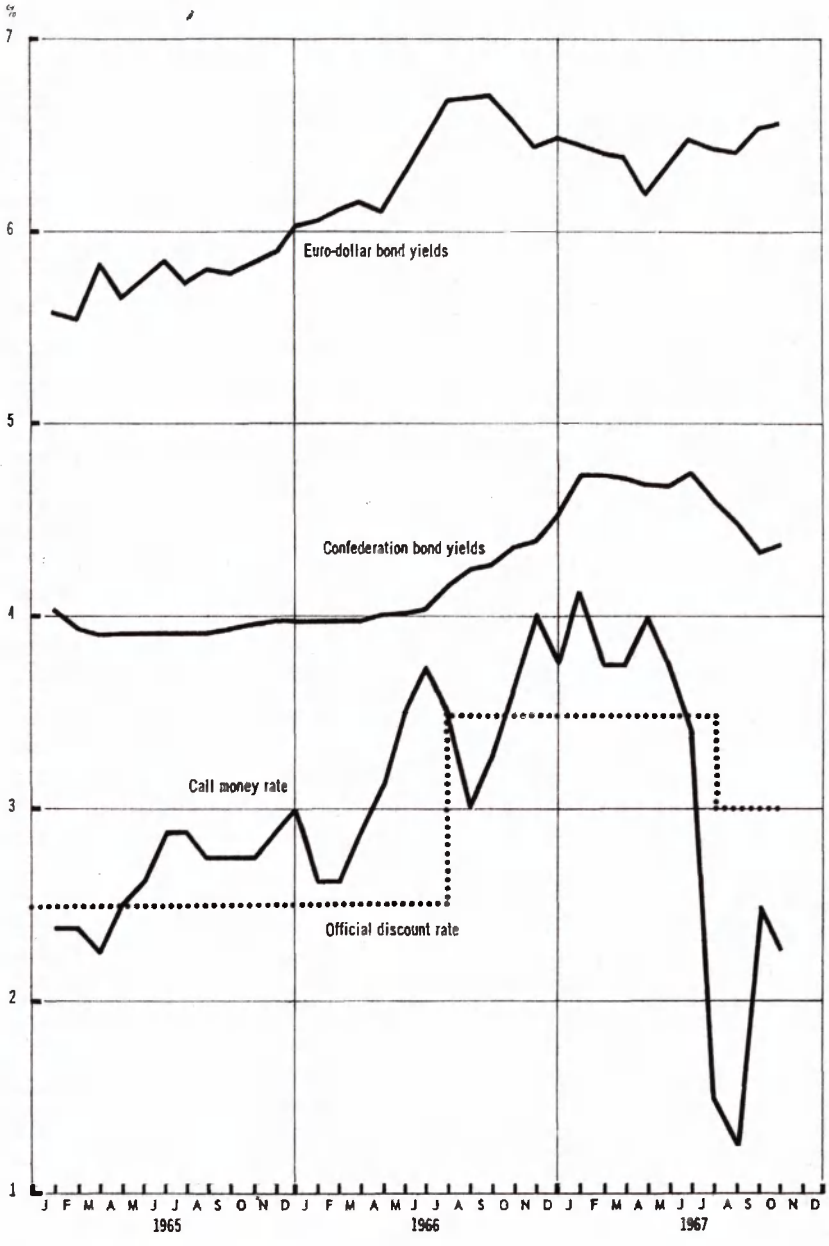
Capital market activities have remained roughly at recent years' level despite some easing of restrictions. In the first nine months of 1967 total security issues, net of conversion issues, amounted to SF 2,511 million as against SF 2,386 million a year earlier, and SF 2,464 million in January-September 1965. Swiss bond issues remained practically unchanged but share issues showed a further significant drop. Foreign issues, on the other hand, continued their upward trend.

Public finance

The dramatic deterioration of the financial position of the public sector implied in the medium-term budget forecast for 1966-1974 has not materialized, at least not up to now. This seems to be the more remarkable as the growth of GNP has fallen short of the assumed average rate and no important measures to change spending or tax laws have been taken in the meantime. The " Emergency Programme " drawn up in the autumn of 1966 for raising additional revenue was rejected in Parliament. It had proposed, inter alia, cancelling the 10 per cent tax rebate on the turnover and defence taxes and reduction of the exemptions from the turnover tax. The additional tax receipts which would have been involved were estimated at SF 70 million in 1967 and SF 390 million in 1968.

In 1966 total government savings (federal, cantonal and local, excluding social security) amounted to SF 1,940 million (3 per cent of GNP) falling only by SF 100 million short of the all-time high attained in 1962. In 1967 a reduction of public savings of the order of SF 350-400 million has to be envisaged, which would be less than the estimated drop of defence tax yields resulting from the biennial incidence of this tax. In spite of the steep rise of government savings between 1957-1962 and the virtual stabilization thereafter government gross fixed asset formation (building

Diagram 3 **Interest rates**



Source: **Monthly Report of the Swiss National Bank.**

and construction) has, since 1963, exceeded the current revenue surplus by increasing margins. By 1965 the resulting deficit on income effective transactions (see Table 13 no. 7) had increased at diminishing rates to SF 1,545 million or 2.6 per cent of GNP. It increased in terms of previous year's GNP by 0.4 per cent in 1966 and probably by more than double that rate in 1967, when, as it should be recalled, receipts were adversely affected by the two-yearly cycle of the defence tax. In the face of the marked slowing down of overall economic growth the additional net stimulus to economic activity resulting from public finance appears to have been relatively moderate.

The 1967 federal budget estimates (covering about a third of total gross public spending) envisaged a fall of receipts of SF 272 million or 5 per cent below the 1966 results; however, this fall is not expected to materialise since between the first halves of 1966 and 1967 current receipts rose by SF 178 million or 6.4 per cent. Total expenditure, excluding debt repayments, though some SF 50 million below the 1966 proposals, was and is still expected to exceed actual 1966 spending by some SF 150 million or 2.5 per cent. This implies that the originally planned deficit of SF 412 million may be brought down to probably less than SF 200 million. This compares with an actual surplus of SF 5 million in 1966. The swing of the budget balance likely to be involved is of the order of 0.3 to 0.4 per cent of GNP. But the deterioration of the balance is unlikely to have exerted any important expansionary impact on the economy since it is much more than accounted for by low defence tax receipts (SF 400 million less than in 1966 on initial budget basis), with probably little effect on private spending decisions, and the cuts of EFTA customs' duties (minus SF 225 million) which should have strengthened demand for foreign more than for domestic products. It should also be noted that repayments of domestic debt, after having been practically discontinued in 1966, were not resumed in 1967, whereas net payments to abroad remained at the high previous year's level. The absorption of domestic liquidity through federal budget operations seems, therefore, to have persisted in 1967 though at a substantially reduced scale.

The government's budget proposals for 1968, presented to Parliament at the end of October, foresee expenditure increases of about 11 per cent over estimated actual spending in 1967 and a 9.5 per cent rise in receipts on expected 1967 results, leaving an overall financial deficit before debt redemption of about the same order of magnitude as may turn out for 1967 (some SF 200 million). It should be noted that the deficit would have virtually disappeared if not for the fact that for the first time anticipated tax payment resulting from the two-yearly cycle of the defence tax, probably involving about SF 200 million, are to be budgeted only in the following year. The complete elimination of customs' duties within the EFTA and

Table 13 **Government Accounts (excluding Social Security)**

	Unit or base	1963	1964	1965	1966	1967[1]
1 Consumption	SF mill.	5,645	6,210	6,620	7,355	7,900
— change from previous year	%	12.6	10.0	6.6	11.1	7.6
2 Building and construction	SF mill.	2,720	3,290	3,405	3,740	3,940
— change from previous year	%	25.9	21.0	3.5	9.8	5.3
3 Total expenditure on goods and services (1 + 2)	SF mill.	8,365	9,500	10,025	11,095	11,840
— change from previous year	%	16.6	13.6	5.5	10.7	6.7
4 Current transfers	SF mill.	1,935	2,300	2,555	2,835	3,060
— change from previous year	%	4.9	18.9	11.1	11.0	8.0
5 Current receipts	SF mill.	9,335	10,465	11,035	12,130	12,550
— change from previous year	%	4.9	12.1	5.4	9.9	3.5
6 Net current savings (5 — 1 — 4)	SF mill.	1,755	1,955	1,860	1,940	1,590
— in per cent of current receipts	%	18.8	18.7	16.9	16.0	12.7
— in per cent of total domestic saving	%	13.1	12.8	11.0	10.8	8.7
7 Income effective deficit (3 + 4 — 5) = (2 — 6)	SF mill.	965	1,335	1,545	1,800	2,350
— change from previous year	SF mill.	845	370	210	255	550
— in per cent of previous year's GNP	%	1.8	0.7	0.4	0.4	0.9

1 Secretariat estimates.

Source: La Vie économique.

Table 14 **The Federal Budget**
SF billion

	1963	1964	1965	1966	1966	1967	1968
	Closed account				Voted budget		Government proposals
1 Receipts	4.21	5.28	4.95	5.69	5.63	5.41	6.31
of which: direct taxes	0.58	1.08	0.82	1.35	1.35	1.04	1.57
indirect taxes	3.07	3.40	3.59	3.78	3.81	3.85	4.14
2 Expenditure	4.08	4.86	4.92	5.68	5.87	5.83	6.50
of which: civil consumption	0.50	0.55	0.57	0.69	0.60	0.70	0.75
civil investment	0.75	0.76	0.75	0.82	0.86	0.79	0.93
subsidies	0.89	1.02	1.19	1.34	1.39	1.46	1.68
military	1.32	1.47	1.53	1.65	1.67	1.70	1.79
3 Overall budget surplus or deficit (—)[1]	0.13	0.42	0.03	0.01	–0.24	–0.42	–0.19
4 Net change in non-monetary assets[2]	0.45	0.17	0.42	0.28	0.39	0.52	0.27
5 Net real and financial savings (3 + 4)	0.57	0.59	0.45	0.29	0.15	0.10	0.08
6 Domestic debt repayment	0.09	0.22	0.28	0.06			
7 Net payments to abroad	0.20	0.05	0.34	0.31			
8 Internally effective surplus (3 — 6 + 7)	0.24	0.25	0.09	0.26			

1 Before debt repayments. Surplus on the " Compte financier ". According to the medium-term budget forecast the overall balance would have developed as follows: + 0.15 in 1965; — 0.08 in 1966; — 0.90 in 1967; and — 0.62 in 1968.
2 Surplus on the " Compte des variations de la fortune ".
Source: Swiss Federal Administration.

tarff cuts negotiated in the Kennedy Round will result in a revenue loss of about SF 230 million.

Despite the envisaged accelerated growth of federal expenditure the expansionary net impact of the budget on the economy will probably be relatively moderate. The reduction of customs' duties will strengthen demand for imports rather than for domestic products and the rise in expanditure is concentrated on subsidies and other transfers with a limited direct bearing on demand. Furthermore, if planned payments to abroad are taken into account and domestic debt redemption is not to be stepped up significantly, the absorption of domestic liquidity through federal cash transactions will be substantial. On the other hand, the combined budgets of local authorities are likely to show a deficit of the same order of magnitude (SF 750 million) as in 1967.

PART V

SUMMARY AND CONCLUSIONS

During the past four years the Swiss authorities have been primarily concerned with containing the expansion of domestic demand and restricting the intake of foreign labour. Both objectives have been achieved and a healthier overall balance between domestic demand and internal supply potentialities has been restored. From a substantial net importer of goods and services and foreign labour, Switzerland has again become an important net exporter of real resources and has reduced her foreign labour force at the same time.

But the growth performance of the economy has become less satisfactory during the last couple of years and the price problem, which in the early 'sixties emerged as a principal policy issue, has not proved easily manageable. During the three years of stabilization policies and despite a distinct deceleration of growth of economic activity the trend of prices has remained virtually as steep as during the period of " overheating ", with the building market constituting the only important exception. The ultimate causes for the unabated price pressure, though difficult to identify, cannot in general be traced to excess demand. Thus demand for food, highly inelastic with respect to changes in income levels, can hardly have been the responsible factor for the acceleration of food prices experienced in 1966 and again in more recent months. The steep upturn of rents since 1966 has also very little to do with cyclical swings in supply/demand conditions. The existing margin of under-utilized productive capacity in a

number of industries cannot be reconciled either with the idea of predominantly demand-induced price increases in this sector. Finally, the expansion of capacity in the service trades appears, by and large, to have kept pace with the growth of demand.

The behaviour of principal price indicators suggests, therefore, that factors other than excessive demand have played an important role in the persistent upward movement of prices. Among such factors are government policies in respect of agriculture, housing, public services and energy—policies which are prompted by other than shorter-term economic considerations. Thus, the Swiss government wishes to maintain parity between incomes in agriculture and industry and to avoid any important deterioration of the financial position of the public enterprise sector. Furthermore, it has been a declared aim of the authorities to fully liberalise the housing market and to cover partly the spending on national roads through heavier petrol taxation. A large part of the price rise in private services can be related to the tendency for wage adjustments in industry to spread to the service sector, where productivity advances are on average slower. Pressures emanating from the cost side, and notably from wages, appear also to have been an important factor behind a large number of the price increases reported from industry. Finally, there has been a substantial rise in fuel prices following the closure of the Suez canal.

The tendency towards more stable (unit) labour costs developments in the earlier phase of the stabilization period has, since 1966, been reversed. The recent deterioration of the wage-cost situation can be attributed to the slowing down of productivity advances. Wages have continued their upward movement at a virtually unchanged pace. Obviously, the wage-cost position of the economy can only be improved if either the growth of wages were slowed down or productivity gains stepped up. Unless the economy is pushed through a period of long recession, the former appears to be rather difficult to achieve given the fundamental tightness of the Swiss labour market, as reflected in the high proportion of foreigners, and the lack of effective incomes policies. But it should be noted that the unions have traditionally shown a high degree of moderation in their wage policies and the 1967 negotiated wage increases imply very little increase in real terms.

There seems to be little doubt that a revival of demand would lead to a fuller use of productive capacity. The opinion of the authorities is that such a revival will materialize in the near future. Opinions on this point may, however, diverge. The slowing down of the economy in 1967 may be looked at as due essentially to international developments and their effect on Swiss exports; with an improvement in economic conditions abroad, a moderate upswing in Switzerland could then be expected. But one may

also consider that there have been, over the last two years, internal factors of weakness of demand, the impact of which has only been reinforced by the slowing down of export demand. If this was the case, the rather modest recovery of world trade now foreseen for 1968 would probably not suffice to restore a normal rate of growth of the Swiss economy. Uncertainties in this respect will be lifted within a rather short time period. It seems therefore appropriate that the Swiss authorities stand prepared to stimulate demand, if an acceleration of economic activity fails to materialize. Possible immediate action may include the speeding up or anticipation of longer-term public spending programmes, the release of unemployment funds and the easing of employment ceilings.

This raises the more permanent problem of expansionary demand management policies which in Switzerland are subject to a number of serious constraints. Monetary conditions have become increasingly dependent on developments abroad, and, with rising interest rates abroad, it may be difficult to strengthen the demand for and the supply of credit. The possibilities to stimulate economic activity through deliberate action in the field of public finance are also limited. The autonomy of cantonal and local governments is very high and the weight of the federal budget relatively small; there is strong resistance of public opinion to contra-cyclical uses of the budget, especially to deficit spending, possibly strengthened by the fact that the budgets of local governments are already in substantial deficit. The institutional and procedural obstacles to flexible public finance policies are important. Although the present hesitation of demand may be only of a temporary nature, the development of a suitable range of policy instruments would seem clearly to be a matter of some urgency and efforts to improve and extend demand management and incomes policies should not be spared.

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STATISTICAL ANNEX

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Table A **Gross National Product and Expenditure**
Millions of Swiss francs, 1958 prices

	1963	1964	1965	1966
Consumers' expenditure on goods and services	27 565	28 905	29 985	30 680
Government current expenditure on goods and services	4 745	4 935	4 985	5 250
Gross fixed asset formation	11 400	12 415	12 235	12 180
Stock changes	675	735	450	420
Exports of goods and services	12 845	13 735	15 325	16 125
Less: imports of goods and services	15 670	17 070	17 665	18 275
Gross national product at market prices	42 190	44 330	46 255	47 535
Income payments to abroad	620	640	595	620
Less: income payments from abroad	1 250	1 315	1 535	1 775
Gross domestic product at market prices	41 560	43 655	45 315	46 380

Source: OECD submission.

Table B **Distribution of National Income**
Millions of Swiss francs, current prices

	1963	1964	1965	1966
Income from dependent employment	26 685	29 415	32 090	34 485
Wages and salaries	25 680	28 305	30 900	33 240
Employers' contributions to social insurance	890	990	1 070	1 120
Pay and allowances of Armed Forces	115	120	120	125
Income from self-employed	7 710	8 420	8 765	9 350
Income of households from property, net	4 025	4 450	5 050	5 315
Interest	1 755	2 005	2 350	2 655
Rent	1 140	1 260	1 340	1 440
Dividends	1 130	1 185	1 360	1 420
Less: Interest on consumer debts	55	70	90	110
Corporate savings	2 255	2 385	2 430	2 530
Direct corporate taxes	1 005	1 260	1 230	1 470
Government income from property and entrepreneurship	1 315	1 405	1 420	1 530
Less: Interest on public debt	620	695	750	830
National income at factor cost	42 320	46 570	50 145	53 940
Indirect taxes	3 665	4 040	4 380	4 590
Less: Subsidies	470	520	590	635
Net national product at market prices	45 515	50 090	53 935	57 895

Source: OECD submission.

Table C Gross Asset Formation and Savings
Millions of Swiss francs, current prices

	1963	1964	1965	1966
Total gross domestic asset formation	15 120	17 190	17 050	17 510
Dwellings	3 605	4 280	4 390	4 400
Other building and construction	5 925	6 910	6 800	6 930
Machinery and equipment	4 870	5 200	5 410	5 750
Stock accumulation	720	800	450	430
Total savings	15 120	17 190	17 050	17 510
Government	1 755	1 955	1 860	1 940
Social insurance	715	550	570	580
Public enterprises	160	140	190	170
Corporations	2 095	2 245	2 240	2 360
Depreciation	4 855	5 450	6 050	6 580
Households and non-profit making institutions	3 855	4 930	5 840	6 410
Net borrowing from abroad	1 685	1 920	300	–530

Source: OECD submission.

Table D Government Finance
Millions of Swiss francs, current prices

	Total			Central Government		
	1964	1965	1966	1964	1965	1966
Current receipts	14 125	15 005	16 385	4 940	4 915	5 655
Personal taxes	6 620	7 150	7 960	770	645	990
Corporate taxes	1 260	1 230	1 470	305	180	355
Indirect taxes	4 040	4 380	4 590	3 565	3 820	4 020
Income from property and entrepreneurship	1 405	1 420	1 530	280	235	235
Other current transfers	785	790	770	20	15	15
Current transfers from abroad	15	35	65	0	20	40
Current expenditure	11 620	12 575	13 865	3 295	3 395	3 755
Goods and services	6 400	6 835	7 590	1 840	1 890	2 125
of which: civilian	5 000	5 365	6 005	545	540	670
Subsidies	520	590	635	395	420	445
Interest on public debt	695	750	830	290	285	280
Current transfers	4 005	4 400	4 810	770	800	905
To other public authorities	—	—	—	525	560	605
To households	3 870	4 285	4 650	185	185	225
To abroad	135	115	160	60	55	75
Net savings	2 505	2 430	2 520	1 645	1 520	1 900

Source: OECD submission.

Table E Merchandise Trade

US $ million

	Imports cif					Exports fob				
	1964	1965	1966	1966 1st half	1967 1st half	1964	1965	1966	1966 1st half	1967 1st half
Total	3 591.3	3 671.3	3 917.6	1 914.7	2 048.5	2 632.0	2 939.3	3 251.6	1 557.4	1 670.4
By area:										
OECD countries	3 197.9	3 272.3	3 464.0	1 697.5	1 793.8	1 989.1	2 224.1	2 432.0	1 176.3	1 265.2
EEC	2 225.1	2 280.6	2 363.1	1 147.3	1 214.5	1 058.9	1 161.5	1 228.0	603.5	614.4
EFTA	526.8	537.8	600.5	292.1	339.5	480.4	550.7	600.6	297.2	343.8
Other in Europe	51.9	52.7	53.7	25.2	26.4	102.6	122.6	130.4	65.3	68.3
North America	350.0	351.5	391.0	205.6	181.9	280.1	333.3	405.9	181.2	202.9
Japan	44.2	49.7	55.6	27.3	31.5	67.1	56.0	67.1	29.1	35.8
Non OECD countries	393.2	398.7	453.4	217.0	254.5	642.2	714.5	818.9	380.5	404.7
Developed countries[1]	31.6	27.9	28.9	15.4	18.6	115.7	126.6	141.5	67.7	68.0
Eastern Europe	71.8	80.5	95.6	44.1	40.2	64.2	83.5	112.2	51.5	57.0
China Mainland	10.7	12.6	16.0	7.2	9.8	10.5	18.1	21.0	8.6	10.2
Other developing countries	279.0	277.7	312.8	150.3	186.0	451.8	486.3	544.2	252.8	269.5
By SITC Sections:										
0 Food, live animals	490.6	501.6	523.6	254.9	264.1	105.0	116.9	132.4	60.1	62.5
1 Beverages, tobacco	76.9	85.8	81.2	39.4	45.5	37.1	41.9	40.8	19.1	22.1
2 Crude materials, except fuels	265.6	252.1	261.9	131.3	136.0	60.1	67.7	74.8	38.5	35.0
3 Mineral fuels, lubricants, etc.	232.1	231.0	238.3	104.7	113.4	2.9	3.8	3.8	1.7	2.4
4 Animal and vegetable oils and fats	16.8	18.4	19.4	8.9	9.3	2.4	3.1	3.6	1.8	1.7
5 Chemicals	315.7	344.5	367.3	177.3	203.9	526.3	585.0	650.0	324.8	357.9
6 Semi-manufactures	837.2	872.5	920.4	447.0	479.7	458.8	516.6	564.6	278.0	288.1
7 Machinery, transport equipment	905.7	884.1	979.2	507.9	511.7	796.1	894.4	984.9	471.6	499.2
8 Other manufactures	429.1	449.5	500.6	231.0	270.9	629.0	700.2	781.9	356.9	392.3
9 Other	21.5	31.9	25.1	12.3	14.0	14.2	9.7	15.6	5.0	9.3

1. Australia, New Zealand, South Africa and Finland.

Source: OECD Foreign Trade Statistics, Series B.

Table F Money and Capital Market
End of period

	Unit	1963	1964	1965	1966	1967 March	1967 June	1967 Sept.
Official discount rate	Per cent	2.00	2.50	2.50	3.50	3.50	3.50	3.00
Yield to redemption on Federal bonds	—	3.54	4.07	3.98	4.53	4.72	4.75	4.32
Mortgage rate (new first mortgages, 12 Cantonal banks)	—	3.78	4.22	4.42	4.59	4.70	4.73	4.74
Medium-term bank bond rate (5 large banks)	—	3.64	4.29	4.39	4.64	4.88	4.88	4.88
Savings deposit rate (12 Cantonal banks)	—	2.79	2.98	3.21	3.33	3.52	3.52	3.58
Money supply, total	Francs million	29 807	31 608	32 636	33 976	32 394	33 315	33 335
of which: Note circulation and sight deposits with the National Bank	—	12 223	12 992	13 258	14 082	12 895	13 323	12 922
Sight deposits with 76 banks	—	13 660	14 496	14 908	15 099	15 129	15 424	15 907
Deposits on postal cheque accounts	—	3 353	3 513	3 810	4 074	3 649	3 847	3 785
National Bank gold and foreign exchange holdings	—	13 287	13 473	14 017	14 358	13 423	13 989	13 634
of which: Gold	—	12 204	11 794	13 164	12 297	11 596	12 253	12 297
Gold cover of note circulation and sight deposits with the National Bank	Percent	99.8	90.8	99.3	87.3	89.9	92.0	95.2
Recourse to National Bank credits	Francs million	240	240	178	267	158	156	153
Time and savings deposits with 76 banks	—	27 607	30 130	33 130	36 257	37 070	37 797	38 645
Loans and advances by 76 banks	—	45 013	48 618	52 897	57 839	58 642	59 745	61 035
Average share prices (per cent of nominal value)	Per cent	784	656	544	449	473	458	562
Average prices of industrial shares (per cent of nominal value)	—	1 007	861	715	572	626	606	758

Source: Bulletin mensuel de la Banque Nationale Suisse.

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